Democratization theory

A game-theoretic approach

Lecture 02

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Democracy

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  - William of Ockham (1287 – 1347) was an English Franciscan friar, scholastic philosopher, and theologian, who is believed to have been born in Ockham, a small village in Surrey. He is considered to be one of the major figures of medieval thought and was at the centre of the major intellectual and political controversies of the 14th century. He is commonly known for Occam's razor, the methodological principle that bears his name, and also produced significant works on logic, physics, and theology. In the Church of England, his day of commemoration is 10 April. https://en.wikipedia.org/wiki/Occams_razzor

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- **V-Dem** 5 high level index: electoral, liberal, participatory, deliberative, and egalitarian

Table 1 - Democracy indicators extracted from the V-DEM dataset

Indicator	Question	Scale
v2x_polyarchy	To what extent is the ideal of electoral democracy in its fullest sense achieved?	0 to 1 (continuous)
v2x_libdem	To what extent is the ideal of liberal democracy achieved?	0 to 1 (continuous)
v2x_partipdem	To what extent is the ideal of participatory democracy achieved?	0 to 1 (continuous)
v2x_delibdem	To what extent is the ideal of deliberative democracy achieved?	0 to 1 (continuous)
v2x_egaldem	To what extent is the ideal of egalitarian democracy achieved?	0 to 1 (continuous)
v2x_regime	How can the political regime overall be classified considering the competitiveness of access to power (polyarchy) as well as liberal principles?	0: Closed autocracy; 1: Electoral autocracy; 2: Electoral democracy; 3: Liberal democracy
e_polity2	What is the Revised Polity score?	-10 to 10 (discrete)
e_boix_regime	Is a country democratic?	0: non democratic; 1: democratic

Source: Varieties of democracy

Figure: Saran (2021)

Figure 1 - Number of democracies in the world per year

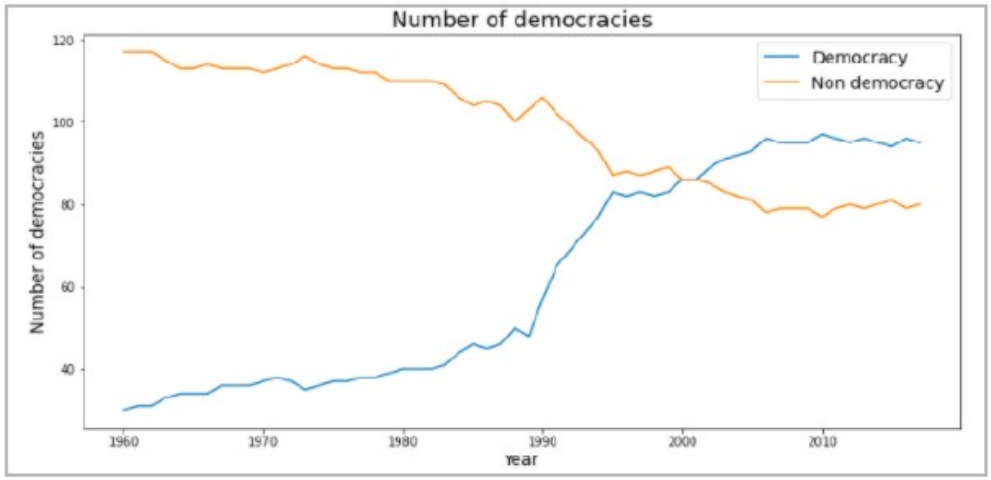

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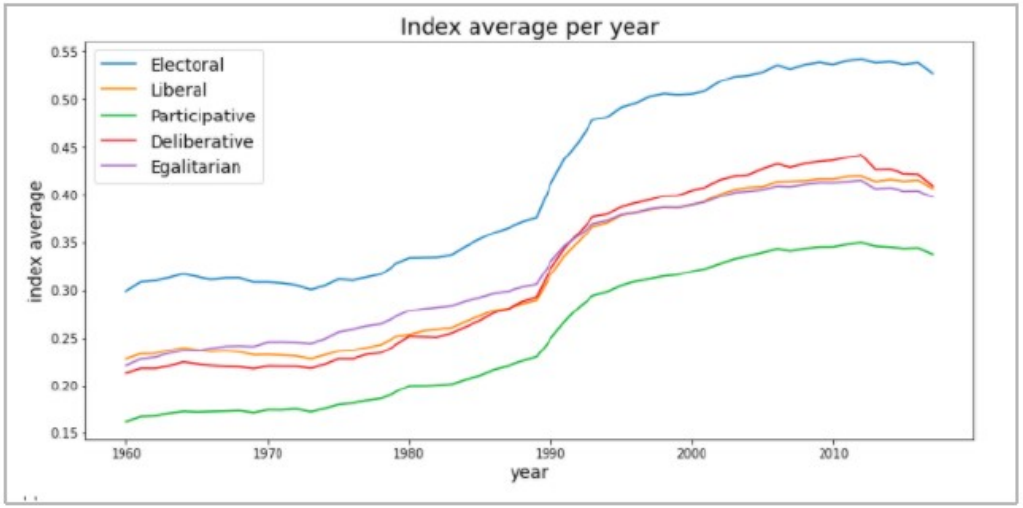
Figure 2 - Average V-DEM scores for each of the five high-level democracy principles



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	v2x_polyarchy	v2x_libdem	v2x_partipdem	v2x_delibdem	v2x_egaldem	dem	dem_svm_norm	e_polity2	e_boix_regime
v2x_polyarchy	1	0.98	0.97	0.97	0.95	0.9	1	0.9	0.86
v2x_libdem	0.98	1	0.97	0.98	0.97	0.89	0.99	0.85	0.84
v2x_partipdem	0.97	0.97	1	0.96	0.95	0.88	0.98	0.87	0.83
v2x_delibdem	0.97	0.98	0.96	1	0.96	0.88	0.98	0.86	0.82
v2x_egaldem	0.95	0.97	0.95	0.96	1	0.86	0.96	0.8	0.79
dem	0.9	0.89	0.88	0.88	0.86	1	0.91	0.81	0.83
dem_svm_norm	1	0.99	0.98	0.98	0.96	0.91	1	0.89	0.86
e_polity2	0.9	0.85	0.87	0.86	0.8	0.81	0.89	1	0.87
e_boix_regime	0.86	0.84	0.83	0.82	0.79	0.83	0.86	0.87	1

Sources: Varieties of democracy, index created by the author

Figure: Saran (2021)

Table 3 - Correlation among democracy indicators and other variables in our analysis

	dem_svm_norm	dem	e_boix_regime	e_polity2
y	0.520048	0.404246	0.375751	0.360925
primary_school_enrollment	0.285408	0.254445	0.256151	0.292574
fertility rate	-0.629807	-0.550852	-0.527282	-0.545359
csh_g	-0.107871	-0.098017	-0.141035	-0.163075
gross_capital_formation	0.098479	0.097888	0.103036	0.056346
trade_share	0.100786	0.064505	0.044768	0.098931
life expectancy	0.603824	0.529873	0.502114	0.509867

Sources: World Development Indicators, PennWorld Table 9.1, Varieties of Democracy and index created by the author

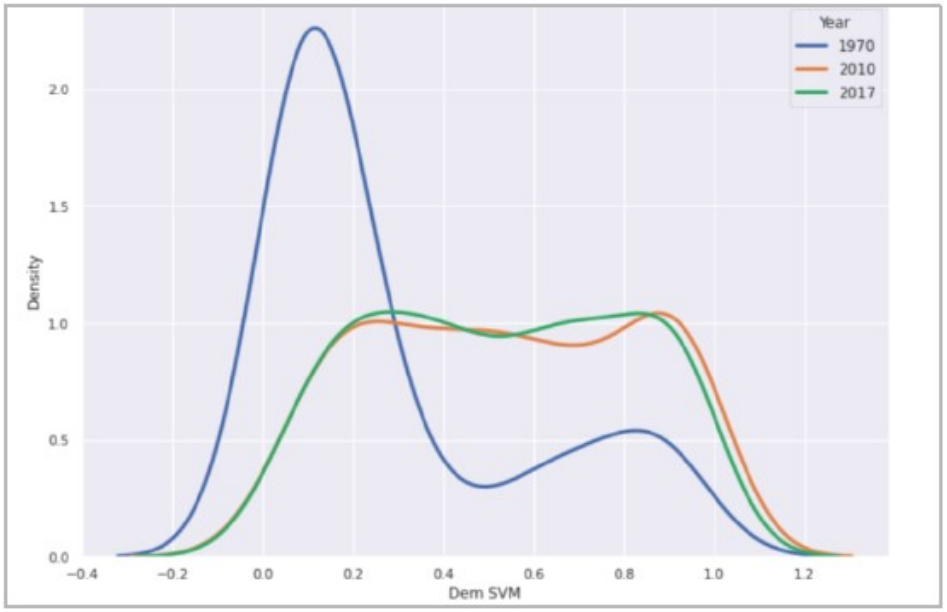
Figure: Saran (2021)

Table 4: Regressions of socio economic indicators *vs.* [log(DEM_{ct}) - log(DEM_{ct-1})]

	coefficient	p-value	F statistics
delta_y	0.0197	0	18.99
delta_primary_school	0.0422	0	99.13
delta_fertility_rate	-0.0133	0	53.63
delta_csh_g	-0.0063	0.48	0.4989
delta_gross_capital_formatio n	0.0139	0.385	0.7539
delta_trade_share	0.0311	0.031	4.641
delta_life_expectancy	0.0047	0	47.24

Figure: Saran (2021)

Figure 4 - Democracy in the World, SVMD index, density estimates 1970, 2010, 2017



Sources: SVMDI index created by the author

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Next lecture:

- Game theory: an introduction
- Preferences and aggregation
- Median voter theorem